Chapter 7: Working with Financial Data

The Lifeblood of Trading Algorithms

On the afternoon of May 6, 2010, the U.S. stock market suddenly plunged nearly 1,000 points—about 9% of its total value—in just minutes, before mysteriously rebounding almost as quickly. This event, now known as the "Flash Crash," wiped out nearly $1 trillion of market value in the blink of an eye.

What caused this extraordinary market collapse? The answer wasn't found in economic news or global events, but in data—specifically, how trading algorithms interpreted and reacted to unusual patterns in market data feeds. The investigation that followed revealed how a single large sell order, combined with unusual market conditions and algorithmic interpretation of that data,